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***513 United Biscuits (U.K.) Limited v Asda Stores Limited**



Positive/Neutral Judicial Consideration

Court

Chancery Division

Judgment Date

18 March 1997

Report Citation

[1997] R.P.C. 513

In the High Court of Justice - Chancery Division

Before: Robert Walker J.

24–28 February, 3, 4 and 18 March 1997

Passing Off – Branded and “own-brand” goods – Deceptive similarity of overall get-up – Likelihood of confusion – Get-up taken by consumers as indication of consistent quality – Whether consumers believe that goods originated from same manufacturer.

Trade Marks – Infringement – Likelihood of confusion – Whether defendant's sign infringed plaintiff's marks when taken in isolation – is Revocation for non-use – Associated marks – Discretion not to revoke – Whether prior use in a form which embodied the distinctive character of the marks.

[Trade Marks Act 1994, sections 10, 46\(1\), \(2\) and Schedule 3 .](#)

[Trade Marks Act 1938, section 30 .](#)

The plaintiff manufactured 'Penguin' chocolate-coated sandwich biscuits. Since 1976 Penguin biscuits had been sold in predominantly red packaging with a horizontal yellow band, featuring the word PENGUIN in black or dark blue capital lettering together with at least one picture of a penguin. The plaintiff owned various registered trade marks including the word mark 'PENGUIN' and four different pictures of penguins used on the packaging at various times until 1988. The defendant supermarket chain designed its own chocolate-coated sandwich biscuit called 'Puffin' which was intended as a 'brand-beater' to be matched against Penguin biscuits. The first suggested get-up for the Puffin biscuits was considered by the defendant to be 'too close' to that of Penguin biscuits and it was altered accordingly. The final get-up was a red background with the word PUFFIN in black capital lettering and a 'cartoon' depiction of a puffin. The defendant started to sell Puffin biscuits alongside Penguin biscuits on its supermarket shelves but at a cheaper price.

The plaintiff issued proceedings against the defendant, claiming an injunction and damages for passing off and infringement of its trade marks. The defendant counterclaimed for revocation of the plaintiff's pictorial marks on the grounds of non-use. At trial, in support of its claims in passing off the plaintiff relied upon the judge's first impression of the similarity of the two biscuits and the evidence of actual confusion among members of the public. The plaintiff initially adduced a survey but this was later withdrawn. The defendant submitted that the plaintiff's task was harder in relation to trade [*514](#) mark infringement than in passing off, because the comparison was with the plaintiff's mark as it was registered rather than as it was used. The plaintiff further submitted that the pictorial marks should not be revoked because: (i) the marks had been used in a form differing in elements but which did not alter the distinctive character of the marks registered under [section 46\(2\) of the Trade Marks Act 1994](#) ; (ii) pictorial and word marks associated with those registered had been used; and (iii) the court had a discretion not to revoke which should be exercised in the plaintiff's favour.

Held, allowing the claim in passing off but revoking the plaintiff's four pictorial marks and dismissing the claim for trade mark infringement:

(1) The long use of a particularly distinctive get-up placed a special obligation on a competitor to avoid confusion. (page 524)

Reckitt & Colman Products Ltd. v. Borden Inc. [1990] 1 W.L.R. 491, referred to .

(2) Where the goods in question were familiar and inexpensive, the judge should first form his own provisional view as to the similarity of the goods or services in question. (pages 526, 538)

The European Ltd. v. The Economist Newspapers Ltd. [1996] F.S.R. 431 and Guccio Gucci SpA v. Paolo Gucci [1991] F.S.R. 89, referred to .

(3) Three conclusions could be drawn from the testimony of the plaintiff's witnesses of confusion: (i) although occasional mistakes might be made for unaccountable reasons, it was unlikely that a significant proportion of supermarket shoppers would fail to distinguish between Puffins and Penguins if both were on sale next to each other; (ii) a substantial number of shoppers would suppose, assume or guess at an association, in the form of a common manufacturer, between the Puffin and the Penguin; and (iii) the great majority of shoppers would not know who manufactured Penguins - they were more concerned with taste, quality and cost. (page 530)

(4) In aiming to avoid what the law would characterise as deception, the defendant had nevertheless taken a conscious decision to live dangerously. This was not something which the court was bound to disregard. (page 531)

(5) It was sufficient for the general public to be led to suppose, or assume or to guess that the plaintiff was in some way responsible for the defendant's goods or services. (page 532)

British Legion v. British Legion Club (Street) Ltd. (1931) 48 R.P.C. 555 , *Ewing v. Buttercup Margarine Co. Ltd. (1917) R.P.C. 232* , *Ravenhead Brick Co. Ltd. v. Ruabon Brick & Terra Cotta Co. Ltd. (1937) 54 R.P.C. 341* and *Wagamama Ltd. v. City Centre Restaurants Ltd. [1995] F.S.R. 713, considered* .

(6) To establish passing off it was unnecessary to prove that the customer knew or cared about the name of the manufacturer who owned the goodwill, provided that the customer knew that there was such a person and cared that the goods which he bought were made by that person. (page 533) *515

Crescent Tool Co. v. Kilborn & Bishop Co. (1917) 247 F. 290 and *Hodgkinson & Corby Ltd. v. Wards Mobility Services Ltd. [1994] 1 W.L.R. 1564, referred to* .

(7) The Puffin packaging would cause a substantial number of members of the public to suppose that there was a connection between the Puffin biscuit and the Penguin biscuit, in that the two were made by the same manufacturer. The likelihood of confusion did not have to be established to a higher standard because the words 'penguin' and 'puffin' were not invented words; they were artificial or 'fancy' words in the context of chocolate biscuits. (page 538)

(8) Taken as a whole, the Puffin packaging and get-up was deceptively similar to those of the Penguin, though this was not intended by the defendant, which had miscalculated the degree of “challenge” or “matching” or “parody” which was tolerable. (page 538)

(9) The Puffin packaging would cause a substantial number of members of the public to suppose that there was a connection between the Puffin biscuit and the Penguin biscuit. They would not believe that the Asda Puffin was the McVities' Penguin but that the two must be made by the same manufacturer. (page 538)

(10) Genuine use of the plaintiff's four pictorial registered marks in issue had been suspended for an uninterrupted period of five years. The court would not exercise its discretion in favour of the plaintiff: the penguin pictures used after 1988 were not sufficiently similar in aspect, pose or naturalism to embody the distinctive character of the registered marks and the fact that the marks had been associated marks under the [Trade Marks Act 1938](#) was irrelevant as that Act had been repealed. (page 540)

(11) In determining the issue of trade mark infringement, the court had to look to the essential features of those registered marks which escaped revocation, rather than the packaging in current use by the plaintiff. Apart from the ephemeral use of “P ...P...P... Pick up a Puffin” which infringed the plaintiff's “P...P...P... Pick up a Penguin” mark, when the surrounding matter was disregarded, the PENGUIN word mark was not infringed by the defendant's sign PUFFIN. The inability of the plaintiff to rely on a pictorial mark was decisive of non-infringement. (page 540)

Wagamama Ltd. v. City Centre Restaurants Ltd. [1995] F.S.R. 713 , *Origins Natural Resources Inc. v. Origin Clothing Ltd. [1995] F.S.R. 280* , and *Taw Manufacturing Co. Ltd. v. Notek Engineering Co. Ltd. (1951) 68 R.P.C. 271* considered .

The following cases were referred to in the judgment:

British Legion v. British Legion Club (Street) Ltd. (1931) 48 R.P.C. 555 .
Crescent Tool Co. v. Kilborn & Bishop Co. (1917) 247 F. 290 .
European (The) Ltd. v. The Economist Newspapers Ltd. [1996] F.S.R. 431 .
Ewing v. Buttercup Margarine Co. Ltd. (1917) 34 R.P.C. 232 . *516
Guccio Gucci SpA v. Paolo Gucci [1991] F.S.R. 89 .
Harrods Ltd. v. Harrodian School Ltd. [1996] R.P.C. 697 .
Hodgkinson & Corby Ltd. v. Wards Mobility Services Ltd. [1994] 1 W.L.R. 1564 .
Origins Natural Resources Inc. v. Origin Clothing Ltd. [1995] F.S.R. 280 .
Ravenhead Brick Co. Ltd. v. Ruabon Brick & Terra Cotta Co. Ltd. (1937) 54 R.P.C. 341 .
Reckitt & Colman Products Ltd. v. Borden Inc. [1990] 1 W.L.R. 491 .
Taw Manufacturing Co. Ltd. v. Notek Engineering Co. Ltd. (1951) 68 R.P.C. 271 .
United Biscuits (U.K.) Ltd. v. Burton Biscuits Ltd. [1992] F.S.R. 14 .
Wagamama Ltd. v. City Centre Restaurants Ltd. [1995] F.S.R. 713 .

Representation

Michael Bloch and Thomas Moody-Stuart instructed by Willoughby & Partners appeared for the plaintiff. Gordon Pollock, Q.C. and Iain Purvis instructed by Addleshaw & Co . appeared for the defendant.

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Robert Walker J.:

Introduction

In this action the plaintiff, United Biscuits (UK) Ltd. (“United Biscuits”), a major biscuit manufacturer, seeks injunctions and damages against the defendant Asda Stores Ltd. (“Asda”), a

major supermarket chain, for passing off and trade mark infringement. These causes of action are the subject of a great deal of learning, some of which has been deployed in argument during the hearing, but their basic idea is quite simple. It is (and has been for a very long time) the policy of the law to permit and indeed encourage fair competition in trade but to discourage and indeed prevent unfair competition. Fair competition is encouraged by the doctrine nullifying unreasonable restraint of trade; that common law doctrine is now supplemented by statutes and European Union measures. The rules as to passing off and trade mark infringement are (in non-statutory and statutory form respectively) a very important part of the law preventing unfair competition. Their basic common principle is that a trader may not sell his goods under false pretences, either by deceptively passing them off as the goods of another trader so as to take unfair advantage of his reputation in his goods, or by using a trade sign the same as, or confusingly similar to, a registered trade mark.

In this case the issues of passing off and trade mark infringement arise in relation to two brands of chocolate-coated sandwich biscuits. The established brand leader is United Biscuit's Penguin. The competing newcomer is Asda's own brand, Puffin, introduced in September 1996. These biscuits are within the category known in the edible grocery trade as countline, in that they are individually wrapped and are sold by number, not by weight. Most Penguins and Puffins are sold in flat packs of seven biscuits side by side, or in 14-packs which contain two rows of seven biscuits, one on top of the other (the Penguin Variety pack, however, contains six biscuits side by side).

These biscuits have during the past six months been sold to the public at average prices per biscuit ranging from about 9p to (during special promotions) 6p, with Puffin (which are sold only in Asda supermarkets) having a price advantage over Penguin (which is sold in Asda, in other major supermarkets and in other retail outlets). There has been some good-humoured press comment on the fact that the competition between these two homely and inexpensive products, both carrying the names of seabirds, should have occupied the High Court for the best part of seven days, with about a dozen members of the public being examined and cross-examined as to their shopping habits and other details of their domestic lives. But in recent years United Biscuits' gross sales of Penguins have been running at a level in excess of £30 million a year (in 1992 they were almost £40 million), and its expenditure on advertising and promotion has been in excess of £4 million a year. Asda's expenditure on developing and launching its Puffin biscuit (as a replacement to its Take a Break biscuit) must also have been substantial. The issues are therefore of real financial importance to the parties, and in the absence of any agreed alternative means of resolving the dispute it has been heard, and must be resolved, in this High Court action for passing off and trade mark infringement. ***518**

The Penguin product and trade marks

Penguin trade marks (both pictorial and word marks) were registered more than 100 years ago, but not in relation to biscuits, and for practical purposes the first relevant registrations were in 1954, of the word mark PENGUIN (No. 729883) and a pictorial mark (No. 730514). The pictorial mark shows a moderately realistic side view of an upright penguin, combined with the word

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PENGUIN, the first two letters being superimposed in white on the penguin figure and the rest being in black lettering. Penguins were first made by William MacDonalds & Son Ltd., initially at a bakery at Glasgow and then also at Isleworth, Middlesex. Individual wrapping with foil followed the lifting in the early 1950's of wartime restrictions on packaging. The pictorial device which I have described was used on Penguins in the 1950's but with all the lettering black. The word PENGUIN in prominent black lettering has in fact been a constant feature of Penguin packaging since before the mid-1970's, when MacDonalds merged with McVities and Crawford's to form United Biscuits.

In 1976, after the merger, United Biscuits spent a lot of money on promoting Penguin in redesigned packaging. This was about the time (though it was of course a gradual process) at which the major supermarket chains became an increasingly important retail outlet for Penguins. They are now easily the most important retail outlet. In order to fit in with supermarket requirements an outer package containing several individually wrapped biscuits (initially a six-pack, but then a seven-pack except for Penguin Variety which has stayed in a six-pack) became the usual form in which Penguins are sold. In this judgment references to packaging are, unless otherwise explained, references to the outer packaging of Penguins (or Puffins), not the inner individual wrapping. The mid-1970's were also the time when commercial television was bringing huge changes in advertising.

Since about 1976 (which was Penguin's most successful year down to that time, with over 400 million biscuits sold) the standard packaging for the Penguin milk chocolate biscuit has been predominantly red with a horizontal yellow band, and PENGUIN in black (or extremely dark blue) capital letters on the yellow band. The front of the packaging has also included at least one picture of a penguin. The packaging did for some time state (in small print) that it was made by McVitie's, York (now McVities, Staines) but it is only in the recent past that a McVitie's logo (incorporating a yellow ear of wheat on a royal blue background) *519 has appeared on the front of the packaging. The slogan P...P...Pick up a Penguin has appeared for many years but it was only in 1994 that it was registered (with the current three, not two alliterative Ps) as a trade mark (No. 2000691). ¹

Apart from the ordinary Penguin (a milk chocolate coated sandwich biscuit filled with chocolate cream) United Biscuits make Penguin in the Dark (a dark chocolate biscuit normally sold in seven-packs on which blue and yellow are the predominant colours) and Penguin Variety (a mixture of four varieties, that is the two chocolate varieties, orange and mint, sold in six-packs with multicoloured packaging). The orange-flavour and mint-flavour biscuits are not generally sold on their own. Penguin in the Dark and Penguin Variety are both fairly recent introductions.

I have mentioned that since 1976 at least one picture of a penguin has appeared on the packaging of Penguins. I must try to summarise their general appearance and relate it to other registered trade

marks which I have yet to mention. But first I should perhaps briefly record my judicial notice of relevant ornithology. Penguins are seabirds of the family of spheniscidae. There are many different varieties of different sizes but they all live in the southern hemisphere, on or close to Antarctica. Relatively few people have therefore seen them in their natural habitat but most people are familiar with them from wildlife films (and television advertisements for Penguins). Their outstanding characteristics are that they cannot fly at all, their progress on land (normally ice) appears to be ungainly, and they are most at home in the sea, where they propel their streamlined bodies with both sets of flippers, while insulated against the cold by ample layers of fat. They are more or less black with white fronts, though their plumage contains some fairly vivid yellow, especially around the neck.

A puffin (and I am here anticipating the next section of this judgment) is a seabird whose scientific name is *fratercula arctica*. It is also sometimes called a sea parrot because of its large, multi-coloured beak which is its most distinctive feature. It is more or less black but with a white front and a large and distinctive white patch around its eye, a little reminiscent of a clown. It is about the size of a pigeon; certainly a good deal smaller than normal varieties of penguin. It lives on the Atlantic coast of north-west Europe, from Brittany to North Cape, and extending to Iceland. It can fly, and has to do so to get to and from its nesting-places on cliffs and rocks. (I should perhaps add that I doubt whether the average member of the general public knows much more about the puffin than that it is a seabird with a multi-coloured beak; my own knowledge has been supplemented considerably from a handbook which counsel showed me.)

I return, after that diversion, to the Penguin packaging and trademarks. In 1978 United Biscuits registered a pictorial mark (No. 1095034) which shows an upright penguin walking along in what seem to be rubber boots. This was described in court as a baby penguin and the bird's rather dumpy appearance is ***520**

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at least consistent with that; and packaging during the 1980's showed what could be an adult penguin (in boots) walking ahead of a baby penguin (also in boots). Also in 1978 some other side views were registered (No. 1095448). In 1987 United Biscuits registered another pictorial mark (No. 132979) of two upright

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penguins in boots, mirror-images of each other. These are not wholly dissimilar from the baby penguin but appear to be adults, and are (except for the boots) rather more realistically depicted (on the 1980's packaging that I have mentioned the penguins have some yellow around the neck, and the registered mark, No. 132979, though recorded in black and white, gives some indication of this). In 1990 there was a new registration (No. 1417169) of the word mark PENGUIN in the name of United Biscuits.

In 1992 and 1993 further pictorial marks were registered: these show comic-strip penguins, those in the 1993 registration (Nos. 1540408 and 1543261) being

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penguins in chef's hats, aprons and boots which could to my eye be almost any bird with a pointed beak. The chef penguins were used on Penguin cake bars, a different product launched in 1994. Ordinary Penguins were during this period produced in packaging which showed, side on, a penguin on skates with a red scarf round its neck (skating penguin marks were also registered in 1992 but the are not relied on in the pleading).

Recently United Biscuits' packaging and advertising have gone back to using more naturalistic penguins. Two fairly realistic depictions of penguins (not encumbered by boots, skates or other paraphernalia) have appeared on the ordinary Penguin packaging since about April 1995, and they are the subject of a pending trade mark application. Some of these recent developments are reflected in a passage from the witness statement of Mr. Colin Hutchison, the sales director of McVitie's (now a division of United Biscuits):

“By 1995 it was time for another brand update to boost awareness. A new advertising campaign was developed and cues from the advertising were repeated in the packaging. There was a move back to live penguins appearing on the advertising and the depiction of the penguin on the PENGUIN bar became more naturalistic. The red and yellow packaging remained but it was pearlised and there was shading from one colour to another. The black which had been used for the seabird (with white and touches of yellow and red) and the word became dark blue. Advertising also told the customer to “P...P...P...Pick up a new more chocolatey McVitie's Penguin”. McVitie's name was added to the packaging at this time as there was a strong McVitie's advertising campaign being run with Jane Asher it was thought that PENGUIN could derive some additional benefit although its advertising campaign was quite separate.”

The Puffin product

Nowadays most sales of countline biscuits are made in supermarkets, including (but not limited to) Asda, Safeway, Sainsbury, Somerfield and Tesco. All these supermarkets sell their “own brand” countline biscuits in competition with Penguin, which is the brand leader for countline biscuits of the filled sandwich variety, but not overall brand leader for all countline biscuits. (The overall leader is Nestle's, formerly Rowntree's Kit-Kat, on the assumption that it should be classified as a biscuit rather than as confectionery; otherwise the overall leader is Jacob's Club.)

Asda is a very well-known supermarket chain, which is particularly strong in the north and midlands of England. Its headquarters are at Leeds. It has over 200 stores and Mr. Jonathan Blundell (who is Asda's head of marketing for edible grocery) is involved in the development of each of the new edible grocery lines (totalling well over five hundred) which are launched each year. Last year the new lines included the Puffin, which was launched (with a “7 for 5” promotional offer setting the price of a seven-pack at 42p) early last autumn. That is what has led to this litigation.

Before summarising the evidence as to its development I should note a rather arid controversy as to its name. The plaintiff's witnesses mostly referred to it as Puffin; the defendant's witnesses (Mr. Blundell and his line manager, Mr. Ian *522 McLeod) were fairly successful in consistently referring to it as Asda Puffin. I am prepared to accept that that may be its official name but it is clear that it is very often referred to simply as Puffin (and Puffin is Asda's registered word mark).

Asda had been selling an individually wrapped, chocolate coated, filled sandwich biscuit called Take a Break (or Asda Take a Break). It was sold in four flavours with packaging which was predominant mauve (milk chocolate) green (mint) orange (orange) or red (malted milk), in each case with white script-type lettering. The packaging had no resemblance whatsoever to Penguin except for the shape and size of the seven-pack (if there was any resemblance it was, to my eye, to Cadbury products, especially in the case of the mauve packaging). Take a Break was regarded as having less than its potential market share, and during the autumn of 1995 it was decided (principally by Mr. McLeod and Mr. Blundell) to phase it out and replace it with a new “own brand” product.

A written design brief prepared in December 1995 by Mr. David Brackston (an Asda marketing manager who reported to Mr. Blundell) referred to Take a Break as “the current Penguin match”. The new product was required to have “brand beater” characteristics. The first listed design objective was: “Clearly match against the brand - Penguin using cues *e.g.* colour, typography.” At this stage the project title was: Countline match - Penguin. The documents disclosed by Asda on discovery included a typed list of 24 “Penguin type names”, most of which were birds or animals, but the list did not include Puffin or any obvious seabird (it included Mandarin, Heron, Flamingo and Swan, which are waterbirds but not normally regarded as seabirds). The development of the Puffin product was explored in the cross-examination of Mr. Blundell and Mr. McLeod, but their evidence did not clarify the date or provenance of this list, nor did it explain clearly when or why the name Puffin was chosen for the Penguin match.

It did however emerge from Mr. McLeod's evidence that the name Puffin was proposed by Mr. Matthew Jenkins (who was a subordinate of McLeod, did not give evidence and plays no other part in the story) and that it had been adopted by the time Mr. McLeod first came into the matter in early February 1996. Mr. McLeod first saw it as part of the artwork prepared by an independent designer, Mr. Ian Logan, in response to Mr. Brackston's design brief.

Mr. Blundell and Mr. McLeod were both asked quite a lot of questions about this artwork. That is understandable, since Mr. Logan seems to have taken his brief to design a Penguin match fairly literally, and Mr. Blundell (readily) and Mr. McLeod (not quite so readily) agreed that it was unacceptably like a copy.

Mr. Blundell agreed that it was essentially a matter of overall impression, but the main similarities could be identified as the colouring (bright red with a horizontal yellow stripe blending into the red in a “vignette” effect), the bold black PUFFIN shadowed in white, and the picture of a seabird with a white front and blue-black back and wings. When asked whether it was essentially a copy Mr. Blundell said readily “it was too close”, and a little later he expanded on this: ***523**

“If you saw the design J239 in full size in the same way that you see Penguin and you saw the dominance of the background colours, which to all intents and purposes at that time (the first stage in the design) were almost identical to Penguin, and when you held the packs at a distance and took an observation on the two packs, they were too close just in overall visual terms. The dominance of the background colours was just too close and the use of a flat black typeface was similar to the dark blue on Penguin.”

(I should add that I do after some initial scepticism accept that the bold lettering on the ordinary Penguin pack is not black but dark blue. But it is an intensely dark blue and only a designer or a printer, I think, would see at first glance that it is not black.)

I shall have to come to the legal significance, in this area, of subjective intention of the defendant. Mr. Blundell's and Mr. McLeod's evidence was that as soon as they saw the original artwork they realised that it was unacceptable and that it would have to be changed to avoid confusion. Mr. McLeod identified the main changes as the removal of the yellow band with its vignette effect, the removal of serifs and the use of a different typeface for PUFFIN, and the depiction of the bird in a cartoon format. He also mentioned that Puffin was going to be produced (as it has been) in four different varieties with different coloured packaging (red for milk chocolate, green for mint, orange for orange and purple for malted milk).

The disappearance of the vivid yellow vignette is to my eye easily the most important of these changes. The Penguins serifs (a typographical term denoting small lines embellishing capital

letters) are of an unusual sort with a vaguely oriental touch and the Puffin artwork did not obviously reproduce them. The white shadow effect was changed but PUFFIN continued to be in black capital letters fringed in white. As to the depiction of the bird, the original “party puffin” at J 239 changed from wearing a paper crown to a reversed baseball cap and its wings and colour changed a little, but those changes were marginal.

What, conspicuously, did not change was the name Puffin and the depiction of a black and white (or dark blue and white) seabird. In his witness statement Mr. Blundell, after speaking of the importance of “cues” as customer signposts (a point on which all the marketing witnesses were agreed) and after referring to the design brief, had gone on to say,

“Even though the designer was told that we wished to “match” Penguin, this did not mean that we wanted to copy the packaging of the Penguin product. Asda's aim was to manufacture an upgraded chocolate sandwich biscuit and offer this to customers as being a real alternative to the branded chocolate sandwich biscuit product. Penguin is the brand leader for this type of product. It was therefore necessary for any packaging of ours to take cues from the Penguin packaging.”

He was asked about this in cross-examination. He said,

“A. I think I understand your question. The use of a sea bird in the packaging was an important part of signposting our product, so it was involved in the cue system. *524

Q. That was the cue that was peculiar to Penguin, the use of a sea bird. Yes?

A. There was a number of cues which help in establishing the position of the product, yes.

Q. But the one that you would say was peculiar to Penguin was the use of a sea bird. Is that right?

A. Yes. That is probably a pretty ... That is a fair statement.

Q. When you say the use of the sea bird, would that cover both the name Puffin and the cartoon depiction of the puffin?

A. Asda Puffin is the brand name and, yes, the illustration is part of giving it some personality.”

Mr. Blundell had also agreed, a little earlier, that the picture of a puffin “parodied” the penguin.

These passages are a reflection of a general theme in the evidence of Mr. Blundell and Mr. McLeod, amounting to a frank recognition that a redesigning and relaunching the Asda competitor to Penguin they were entitled (and even, by their own lights, bound) to “match” Penguin, to “position themselves” against Penguin or to establish themselves as the competitor to Penguin. There is a good deal of authority for the proposition that long use of a particularly distinctive getup does (without creating a monopoly) place on a new competitor (minded to use a similar get-up) a special obligation to avoid confusion: see for instance what was said by Lord Jauncey in the Jif Lemon case, *Reckitt & Colman Products Ltd. v. Borden Inc.* [1990] 1 W.L.R. 491 at page 515 F-G.² The evidence of Asda's senior employees suggested a different approach, that is that the brand leader is to some extent “fair game” to be matched, parodied or challenged - so long as it is not actually copied. I shall have to come back to that point in discussing the law.

It is convenient to mention here two earlier occasions on which the name of a bird other than a penguin (but beginning with P and ending with N) has been used for countline biscuits. In the late 1960's or early 1970's Tesco sold a biscuit called Puffin (not made by any company now in United Biscuits). It was sold in a red and white six-pack with a crude picture hardly reminiscent of any known bird. At some time between the late 1960's and the early 1980's McVities made an own-label biscuit called Pelican for Marks and Spencer. It had a picture of a purple pelican on a blue wrapping. Neither of these products was challenged by United Biscuits or its predecessors. Neither seems to have lasted long.

The launch of Puffin

The development of the Puffin continued and final packaging designs were approved by Mr. McLeod and Mr. Blundell in June 1996.³ The Puffin was *525 produced for Asda by a well-known manufacturer (not, of course, United Biscuits, although it does make a number of “own brand” products for supermarkets) in the four varieties which I have already mentioned.

The display of goods on Asda shelves is regulated in great detail by its headquarters staff. Charts known as planograms are sent out to store managers at regular intervals instructing them as to the positioning of shelves, the amount of shelf space to be devoted to each product, and the relative positions of the product displays. A supermarket “bay” refers to a length of tiers of shelving, divided internally and fronted by transparent plastic sections. The length of a bay is 1.332m,

generally with three rows of shelving above the display base. In the language of planograms for countlines a six-bay store with a twenty-bay total means that twenty bays are devoted to biscuits, and six of those to countlines.

The Puffin was originally launched as a special promotion in what are called the gondola ends of Asda supermarkets, off the normal shelving. This was in September 1996. Take a Break remained on sale but sales diminished very rapidly and it disappeared within six weeks. When Puffin was moved to the ordinary shelves the planograms directed that it should be sold in close juxtaposition to Penguin, with the Puffin mint variety (in its bright green packaging) next to the ordinary Penguins. On occasion the juxtaposition of the two brands was further emphasised by “Pocket the difference” notices drawing attention to the fact that (for instance) an Asda Puffin 14-pack could be bought for 99p while a McVities' Penguin 14-pack cost 129p. Asda regularly uses notices of that sort and its regular suppliers (on the unfavourable end of the comparison) have to accept it as cheerfully as they can.

One incident during the Puffin launch calls for special mention. Mr. McLeod himself had the idea of using the slogan “Pick up a Puffin” as part of the launch. This was, he said, to be a “tongue in cheek” reference to Penguin's well-known slogan (now a registered trademark), but without the alliteration or stutter. With this aim Mr. McLeod had some cardboard “wraprounds” printed with his slogan on them. These were to have been used during the promotion in the gondola ends. However about two to three weeks before the launch Mr. McLeod had second thoughts about the wisdom of his idea and the wraprounds were never used. But the slogan “Pick up a Puffin” was used in a feature on new products in Asda's leaflet What's New (available in Asda stores) and was also used in similar material placed on the internet. Mr. Hutchison of United Biscuits objected to what was on the internet and Mr. McLeod agreed to stop the use of the slogan both on the internet and in the What's New leaflet (which Mr. McLeod realised was the source of the internet material). Mr McLeod accepted that the What's New leaflet, if seen by one per cent of Asda's customer base (his guess was “less than one per cent”) would nevertheless have been seen by over 50,000 people. More than six million people a week shop at Asda.

United Biscuits took a serious view not only of the “Pick up a Puffin” slogan but also of the launch as a whole and a writ was issued on 15 October 1996. The case has been prepared with exemplary speed and care on both sides and it came on for trial. (without any interlocutory application for injunctive relief having been made) on 24 February 1997. *526

The products compared

I have inspected, closely and repeatedly, the outer packaging of the three main current Penguin varieties and the four Puffin varieties. I have seen examples of individually wrapped biscuits from inside the products. I have also seen examples of Take a Break packaging and the packaging on other comparable “own brand” countline products made for (among others) Safeway, Sainsbury, Somerfield and Tesco. Apart from the name and the picture of a bird (which is of course a very

important exception) some other “own brand” products (especially Tesco's and Iceland's) are more similar to Penguins because of their red and yellow colouring.

In the event of an appeal the same visual inspection will be open to higher courts. I shall not therefore attempt any minute verbal description and comparison of the ordinary Penguin packaging and the packaging of its Asda milk chocolate competitor, the red-packaged Puffin. It is sufficient to say that they are of the same size and shape and appear to use comparable though not identical materials (the Puffin packaging is semi-transparent). Red is the dominant colour on both but the yellow vignette on the Penguin has no counterpart on the Puffin, and the yellow gives particular prominence to the apparently black (but actually very dark blue), shadowed in white, of PENGUIN. PUFFIN is also edged in white and makes a similar, but not to my eye such a striking impact.

There is some authority that in a case of this sort a judge should, before having regard to the evidence of trade witnesses (and apart from factual evidence of actual confusion) form his own provisional view: see for instance the approach of *Rattee J. in The European v. The Economist Newspapers* [1996] F.S.R. 431, especially at pages 441-2 and 445. I am of the clear view that with the very important exception of the name and the bird picture, there is nothing in the Puffin get-up that is deceptively similar to Penguin. With the name and the bird picture I have no such clear conviction. The cartoon puffin (whose multicoloured beak is reproduced, but not very clearly) could, I am inclined to think,

TABULAR OR GRAPHIC MATERIAL SET AT THIS POINT IS NOT DISPLAYABLE.

be mistaken for a cartoon penguin. The word PUFFIN is not very different from PENGUIN. Forty per cent of Penguins are eaten by children, and children often help with the shopping even though they do not pay for it.

Had the Asda product been called for example BISON (to take another name from the original list of possibilities) with a cartoon picture of a brown woolly *527 bison on the packaging, these proceedings could not possibly succeed. Almost certainly they would never have been brought. But the name PUFFIN and the prominent picture of an upright dark-coloured bird with a white front gives me the expectation, as a matter of first impression, that a substantial part of the public who shop in supermarkets would see an association between the Asda product and McVities Penguin. Whether that association would be sufficient to amount to deception is a matter that I shall have to come back to.

The witnesses

I heard oral evidence from witnesses in three categories: senior employees of the parties; expert and technical witnesses; and members of the public. The first category subdivided into Mr. Hutchison of United Biscuits and Mr. Blundell and Mr. McLeod of Asda. I found them all to be intelligent and helpful witnesses, subject to an occasional tendency to take the “party line” on behalf of

their respective employers. Such a tendency is understandable and does not displace my general conclusion that they were all doing their best to assist the court.

Mr. Michael Rogers was a witness as to fact but as to technical facts, in that he is an executive director of NOP Consumer Market Research, a division of NOP Research Group Ltd. (“NOP”). NOP was commissioned by United Biscuits to carry out, at unusually short notice, a public opinion survey for use in this case. Mr. Rogers gave factual evidence as to the way in which the survey was conducted; the intention had been that two expert witnesses should then be called to express their different opinions as to the correct interpretation of data collected by the survey. Mr. Rogers is an intelligent man and he had a very candid and professional approach. He explained that the survey raised some unusual problems as to methodology, exacerbated by the short time that was available to plan it and carry it out. He frankly conceded that a number of errors or misjudgments appeared to have been made in coding the raw data. As a result Mr. Bloch sensibly decided not to place reliance on the survey, and the two expert witnesses were not called to give their views on the survey.

I did however hear evidence from one expert witness, Dr. William Bishop, who is now Professor of the Economics of Competition Law at the College of Europe at Bruges. Dr. Bishop began his further education with economics degrees in Canada, came to Oxford as a Rhodes Scholar and took further degrees in law. He has taught at Oxford and at the London School of Economics and has held a number of visiting professorships.

Dr. Bishop had prepared a long report based on sales of countline biscuits at Asda stores before, during and after the Puffin launch. Dr. Bishop expressed his own view that Penguin was probably a closer-than-average substitute for Puffin (which strikes me as an odd way of putting it) and on that basis drew the conclusion (paragraph 90) that the data provided no evidence in support of the hypothesis that Penguin sales had suffered discernibly owing to any kind of confusion.

Dr. Bishop was cross-examined by Mr. Bloch and I was greatly impressed by his intellectual agility and rigour. Dr. Bishop readily agreed (and indeed himself pointed out) that it had not been possible for him to use the sort of scientific techniques that would have been applied to fuller data relating to a longer period. Dr. Bishop replied to a question about that: ***528**

“At first, we wanted to build a statistical econometric model. The principal reason why we decided that would be inappropriate is that we did not have enough data to estimate the seasonality to make these estimates scientifically meaningful, so instead I chose to look at the data carefully and see what the reasonable common sense limits were of what would be extreme estimates on either side and not try to get a semi-scientific estimate of the kind that is possible with statistical and econometric estimates.

Seasonality, you are right to focus on, was the most important single reason for that.”

In short, Dr. Bishop made no exaggerated claims about his methods or the validity of his tentative conclusions. I take his opinion into account but in view of his own reservations I cannot attach much weight to it.

I heard evidence going to the issue of actual confusion from fourteen witnesses. They could all be described as members of the general public, although a few of them had some sort of work connection with United Biscuits, so that they were rather more knowledgeable about biscuit manufacturing and had some feeling of loyalty to that company. On Mr. Pollock's application, not opposed by Mr. Bloch, they were all examined in chief in the traditional manner, and not by reference to their witness statements. Mr. Bloch had wished to call even more witnesses on this issue. I ruled (as a matter of case management, in an action in which no pre-trial review had been held) that the number of witnesses should be limited. In making that ruling I had regard to the fact that most of these witnesses were giving evidence of confusion, not in the course of an ordinary shopping trip, but in the rather different conditions of the NOP survey (although Mr. Bloch said he was not relying on the survey results as such, he did still rely on some individuals who took part in the survey as witnesses giving evidence of actual confusion).

There were two witnesses (Mrs Wilson of Speke, Liverpool and Mrs Hunton of Norwich) who gave evidence of selecting Puffin biscuits by mistake for Penguins in an Asda supermarket. Mrs Wilson was put right by her adult son (who works for McVities) and did not purchase the biscuits, but Mrs Hunton did buy Puffins, meaning to buy Penguins, and the mistake was only noticed later by her son (who, like a lot of children, regularly has a biscuit of this sort to take to school). Mrs Hunton's recollection was shown, in cross-examination, to be imperfect (in particular she gave different accounts of whether she had gone in with the intention of buying Penguin in the Dark, or of buying Penguin at all). But I accept these as two instances of mistakes made, in the course of normal shopping, soon after the Puffin launch.

Apart from Mrs Wilson and her son and Mrs Hunton (and the other witnesses from Crawfords Computing in Liverpool whose evidence I did not find particularly relevant) I heard from nine witnesses who had been interviewed in the course of the NOP survey. These witnesses were therefore chosen from a much larger number of interviewees, and were chosen on the basis that their evidence would be helpful to the plaintiff's case. By way of emphasising this point Mr. Pollock (using the summary of the NOP survey results, even though Mr. Bloch no longer relies on them) drew attention to the fact that only three out of 170 interviewees (who had been shown a package of Puffins and said they had bought it) were coded as replying, *529

“Asda's version of Penguin/Penguin with Asda label/same as Penguin under Asda's own brand.”

But twelve were coded as replying,

“Same as/just like/virtually the same as Penguin,”

and 24 were coded as replying,

“Looks like/similar to/reminds me of Penguin.”

There is a small element of overlapping between the interviewees giving these answers. The total interviewees making some sort of reference to similarity to Penguin was 35, or 21 per cent of the 170.

These nine witnesses all said that the interviews had been conducted fairly, without any pressure or persuasion (though it became apparent that some of the interviews had been conducted on the interviewee's doorstep, and not in the living-room into which the interviewer hoped to be invited). All the witnesses had expressed some sort of view that Puffin was made by the same manufacturer as made Penguin, though few of the witnesses could name McVities (and still fewer United Biscuits).

Almost all these witnesses gave, as the reason for their belief, the similarity which they saw between the Puffin packaging and the Penguin packaging although, as might be expected, they differed in the strength of their convictions and also in their ability to give a detailed account of their reasons under cross-examination in court (an environment at least as far removed from an NOP interview at home as such an interview is from a shopping trip to an Asda supermarket.

Miss Hughes (a nurse from Lincolnshire) spoke of unconscious association but also said (in chief) that she had made a wild, lucky guess (she was not cross-examined). Mr. Stewart, a retired steel-mill works manager from Corby, explained it like this,

“Several reasons, I suppose, but I was not aware, and am still not aware, of any other chocolate biscuits that I normally see, even if I do not buy them, that is the name of a bird. I think that brought an immediate sort of connotation between Penguin and Puffin, because they were both birds, and I did not know of any other chocolate biscuit called after birds.”

In cross-examination Mr. Stewart was asked how he would react to “Pigeon” as a name and said he could not see people buying chocolate biscuits with that name. Mrs Catherine Smith from Peterborough referred to the P, the bird and the colours, and summarised her view.

“To go back, it was the fact that it was a bird and the big black writing, yes, on the bar that made me think that this was perhaps - I think I said - a spin-off or something, but that was just slang.”

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She was one of the few (outside those connected with the industry) who could name McVities as making Penguin. Mrs Frenzel from Ipswich said (of the Puffin package),

“It was brightly coloured red and the Penguin biscuits are usually bright primary colours. There was an upright bird slap bang in the middle of the packet and it just seemed to me to immediately look like a Penguin.”

Only one of these witnesses (Mrs King from Gloucester) put her belief primarily on grounds of taste rather than the appearance of the packaging.

There were four main points which Mr. Pollock elicited in cross-examination from several witnesses. Almost without exception the witnesses agreed with him that their view (as to Puffin and Penguin coming from the same manufacturer) was an assumption or a guess (although some witnesses fortified their views by explaining why they saw it as a very reasonable assumption or guess). Several of the witnesses (including Mrs Hart from Thetford, Mrs Ormerod from Accrington and Mr. Stapley from Darlington) agreed that the Tesco and Iceland own brands would or might also have been made by the manufacturer of Penguin. At least three witnesses (Mrs Ormerod, Mrs Frenzel and Mr. Stapley) agreed that they neither knew nor cared who made Penguin biscuits: what mattered, they said, was taste and quality.

From this evidence as a whole (bearing in mind that it is selective and therefore unrepresentative) I draw three conclusions which largely confirm my own first impressions. First, although occasional mistakes may be made for unaccountable reasons, it is unlikely that a significant proportion of supermarket shoppers would fail to distinguish between Puffins and Penguins if both are on sale next to each other, as they usually are. (This is further confirmed by the evidence of Mr. Blundell that out of over 15,000 letters from customers received by Asda between September 1996 and January 1997, only 34 related to the Asda Puffin and not a single one complained of confusion with the McVities Penguin.) Secondly, that a substantial number of shoppers would suppose, or assume, or guess at an association (in the form of a common manufacturer) between the Puffin and the Penguin. Thirdly, that the great majority of shoppers would not know who manufactures Penguins (the McVities logo having appeared on them only quite recently) and that what they are concerned with is taste and quality (which depends primarily on the manufacturer) and cost (which depends on the supermarket retailer and on the supermarket's influence or "clout" with even the largest manufacturers).

The law: passing off

Many authorities were cited to me, the majority on passing off rather than on trade marks. Mr. Bloch's bundle contained over thirty authorities and Mr. Pollock added half a dozen more, these being mostly directed to the limitations and deficiencies of public opinion surveys as evidence in this sort of case (see for instance *United Biscuits U.K. Ltd. v. Burton Biscuits Ltd.* [1992] F.S.R. 14, the Jaffa Cakes case, in which Vinelott J. referred to some earlier observations of Whitford J. on this topic). *531

I do not find it necessary to refer to all or even most of the authorities which counsel's industry has put before me. In the recent decision of the *Court of Appeal in Harrods Ltd. v. Harrodian School Ltd.* [1996] R.P.C. 697 the judgment of Millett L.J. contains a very clear summary of the main principles, with references to leading cases, under the headings "subjective intention to deceive" (pages 706-9), "the elements of passing off" (pages 712-3), "the relevant connection" (pages 712-3) and "the common field of activity" (pages 714-5). I will not attempt a further summary here but these sections of the judgment merit careful study and all but the last are in point here (there is no dispute as to common field of activity, since the two products are admittedly close competitors in a particular sector of the biscuit market).

Three points call for special attention in relation to this case: the subjective intention of the defendant (here acting through its senior employees such as Mr. McLeod and Mr. Blundell); the quality of the suggestion (conveyed by the get-up of the defendant's goods) of association or connection with the plaintiff's goods; and the degree to which it is necessary for the plaintiff's name to be known to the general public as the owner of the business whose goodwill and reputation are threatened by any misrepresentation (see the remarks of *Millett L.J. in Harrods Ltd. v. Harrodian School Ltd. [1996] R.P.C. 697 at page 711*). I will take these points in turn.

In the *Harrods case Millett L.J. said at page 706* ,

“Deception is the gist of the tort of passing off, but it is not necessary for a plaintiff to establish that the defendant consciously intended to deceive the public if that is the probable result of his conduct. Nevertheless, the question why the defendant chose to adopt a particular name or get up is always highly relevant. It is “a question which falls to be asked and answered”: see *Sodastream Ltd. v. Thorn Cascade Co. Ltd.[1982] R.P.C. 459 at page 466 per Kerr L.J* . If it is shown that the defendant deliberately sought to take the benefit of the plaintiff's goodwill for himself, the court will not “be astute to say that he cannot succeed in doing that which he is straining every nerve to do”: see *Slazenger & Sons v. Feltham & Co. (1889) 6 R.P.C. 531 at page 538 per Lindley L.J.*”

Mr. Pollock accepted this as a matter of principle but said that it could have no application to this case. He stressed that Mr. Blundell had readily accepted that the original artwork was “too close” to the Penguin get-up and that it had been changed in order to avoid confusion, which the defendant (as well as the plaintiff) wanted to avoid). The evidence did not explore fully how the original artwork came to be so obviously “too close”; apart from Mr. Branckston's design brief, there were very few extant documents (and none as to the reasons for adoption of the name Puffin). It is certainly true that changes were made in the first design so as to lessen the risk (initially more or less a certainty) of confusion. But it seems to me likely that Mr. McLeod, Mr. Blundell and their subordinates and independent designers were, under advice, seeking to make only such changes as were needed in order to avoid what they judged to be an unacceptable risk of being attacked for copying, while maintaining Puffin's position as an obvious competitor and parody, and (they hoped) a “brand beater”. I cannot escape the conclusion that, while aiming to avoid what the law would characterise as deception, they were taking a conscious decision to live dangerously. That is not in my judgment something that the court is bound to disregard. *532

The next point that calls for consideration is the witnesses' general acceptance, under Mr. Pollock's questioning, that their belief that Puffins were made by the same manufacturer as Penguins was supposition, or assumption, or a guess. For one trader to induce the belief, by deceptive suggestion, that his goods are made by another trader with an established reputation can amount to actionable passing off: *Ewing v. Buttercup Margarine Co. Ltd.* (1917) 34 R.P.C. 232 ; *Wagamama Ltd. v. City Centre Restaurants Ltd.* [1995] F.S.R. 713 . In the *Harrods case* Millett L.J. (at page 712) , approving what was said by *Farwell J. in British Legion v. British Legion Club (Street) Ltd.* (1931) 48 R.P.C. 555 , characterised the connection rather more widely, as a suggestion that the plaintiff was in some way responsible for the defendant's goods or services. Plainly that includes the manufacturer of a supermarket's own-brand product, even if the supermarket shares that responsibility through its own-brand commendation.

Is it sufficient for a substantial part of the general public to be led to suppose, or assume, or guess at such a connection? In *Ewing* (1917) 34 R.P.C. 232 at page 238 *Warrington L.J.* put it in terms of what a customer “might well think” and went on to say,

“It seems to me that the plaintiff has proved enough. He has proved that the defendants have adopted such a name as may lead people who have dealings with the plaintiff to believe that the defendants' business is a branch of or associated with the plaintiff's business.”

In *Ravenhead Brick Co. Ltd. v. Ruabon Brick & Terra Cotta Co. Ltd.* (1937) 54 R.P.C. 341 at page 349 (the Rus/Sanrus brick case) it was put in terms of a trade customer saying to himself “This is, or may be, a name used to describe an article of the plaintiff's manufacture.” In *Wagamama* witnesses had been asked by telephone to give their immediate reaction and first thought on hearing of the opening of a restaurant called Rajamama and some of their reactions and first thoughts are recorded in the judgment ([1995] F.S.R. 713 at page 735). These replies are expressed, naturally enough, in terms of what the witness thought, assumed, or took to be suggested. Bearing in mind that those witnesses (whose occupations are recorded) were probably of above-average articulacy, their reactions are not to my mind very different from those of witnesses in the present case. In *Wagamama Laddie J.* held passing off (as well as trade mark infringement) to have been established).

Mr. Pollock points out that the *Ravenhead Brick Co.* and *Wagamama* cases were both concerned with artificial and meaningless names, and that is a point of distinction. Moreover in the bricks case the customers were typically knowledgeable tradesmen, and in the restaurants case the likelihood of word-of-mouth recommendation made the sound of the names particularly important. Penguin and Puffin, by contrast, are words denoting real creatures, and they appear on packing designed

for self-service shopping in a supermarket. However they are artificial or “fancy” names in the sense that an unpalatable seabird has no obvious connection with a chocolate-coated sandwich biscuit; and Puffin is, as a word, not wholly dissimilar from Penguin. It was to the seabird, and the names in black lettering, that almost all the witnesses referred in their explanations (some more articulate than others) of why they had been led to suppose, or assume, or guess at a common manufacturer. *533

The third point calling for special mention is as to customers' knowledge of the identity of the company which makes Penguins and owns goodwill reflecting its reputation in those goods. That company is the plaintiff, United Biscuits. McVities is, it seems, now used as the name of a division. MacDonalds (the original manufacturer and one of the original constituent parts of United Biscuits) seems to have disappeared.

There is authority that a customer need not know or care about the name of the manufacturer who owns the goodwill, provided that the customer knows that there is such a person and cares that goods which he buys are made by that person. This point was clearly expressed by a famous American judge, Learned Hand J., in a passage in *Crescent Tool Co. v. Kilborn & Bishop Co.* (1917) 247 F. 290 at page 300 quoted by *Jacob J. in Hodgkinson & Corby Ltd. v. Wards Mobility Services Ltd* [1994] 1 W.L.R. 1564 at page 1573 ,

“It is an absolute condition to any relief whatever that the plaintiff in such cases show that the appearance of his wares has in fact come to mean that some particular person - the plaintiff may not be individually known - makes them, and the public cares who does make them.”

That was said in the special context of the appearance of a product, but the point is of more general application. When witnesses called on behalf of United Biscuits said that they did not know or care who made Penguins, I did not understand them to be saying or implying that they did not expect Penguins to be of consistently high quality because of their origin from a particular source. I shall touch on this point again in a later part of this judgment.

The law: trade marks

The statement of claim pleads that United Biscuits is the registered proprietor of eleven specified trade marks (four word marks and seven pictorial marks). Asda's defence and counterclaim seeks revocation of five of the pictorial marks for non-use. For practical purposes the 19th-century registrations (which do not apply to biscuits) can be ignored, and the 1954 word mark is duplicated

by the 1993 word mark. So this part of this case turns on three categories of registered marks as follows:-

(a) <i>recent word marks</i>		
No. 1417169	14 March 1993	PENGUIN
No. 2000691	2 November 1994	P...P...P...Pick up a PENGUIN
(b) <i>pictorial marks attacked for non-use</i>		
No. 730514	22 May 1954	side-on penguin with lettering
No. 1095034	3 May 1978	baby penguin *534
No. 1095448	11 May 1978	side-on penguins with lettering
No. 1329752	15 December 1987	front views of adult penguins
(c) <i>pictorial marks: cartoon penguins</i>		
No. 1540408	30 June 1993	penguins in chef's hats
No. 1543261	29 July 1993	penguin in chef's hat

Registered trade marks are now regulated by the [Trade Marks Act 1994](#) (“the 1994 Act”) which has made significant changes in the previous law. As regards infringement the most relevant provision is in [section 10\(2\)\(b\)](#) , but in order to show the context I will set out the whole of [section 10\(1\) and \(2\)](#) :

10.(1) “A person infringes a registered trade mark if he uses in the course of trade a sign which is identical with the trade mark in relation to goods or services which are identical with those for which it is registered.

(2) A person infringes a registered trade mark if he uses in the course of trade a sign where because -

- (a) the sign is identical with the trade mark and is used in relation to goods or services similar to those for which the trade mark is registered, or
- (b) the sign is similar to the trade mark and is used in relation to goods or services identical with or similar to those for which the trade mark is registered,

there exists a likelihood of confusion on the part of the public, which includes the likelihood of association with the trade mark.”

These provisions were fully considered by *Laddie J. in Wagamama [1995] F.S.R. 713*, to which I have already referred in connection with passing off. In particular, Laddie J. considered the argument that the final words of [section 10\(2\)](#) were intended to expand the scope of infringement beyond what the judge called “classic infringement” so as to extend to what he called “non-origin association” (see at page 721). Otherwise, it had been argued, the final words would be redundant. Laddie J. rejected that argument, and it has not been repeated before me. Nevertheless, Laddie J. concluded (at pages 731-3) that there had been infringement, on the “classic” test, of the *WAGAMAMA* word mark by the sign RAJAMAMA (whether spelled as one word or two). As I have already mentioned in connection with passing off, Laddie J. took into account the fact that the plaintiff's mark was entirely artificial and meaningless to the average British customer, and that imperfect recollection was likely both for that reason and because the marks were being used in relation to comparatively inexpensive eating places, where word of mouth recommendation was common. *535

In *Origins Natural Resources Inc. v. Origin Clothing Ltd. [1995] F.S.R. 280 at page 284*, Jacob J. said that [section 10](#) of the 1994 Act

“requires the court to assume the mark of the plaintiff is used in a normal and fair manner in relation to the goods for which it is registered and then to assess the likelihood of confusion in relation to the way the defendant uses its mark, discounting external added matter of circumstances. The comparison is mark for mark.

- or, on the precise wording of section 10, mark for sign. *Origins* was a case about a word mark, but the approach to pictorial marks is the same. In *Taw Manufacturing Co. Ltd. v. Notek Engineering Co. Ltd. (1951) 68 R.P.C. 271 at page 273 Lloyd-Jacob J.* said, citing Lord Radcliffe in another well-known case,

“A trade mark is infringed if a person other than the registered proprietor or authorised user uses, in relation to goods covered by the registration, one or more of the trade mark's essential particulars. The identification of an essential feature depends partly upon the court's own judgment and partly upon the burden of the evidence that is placed before the court. As Lord Radcliffe observed in *de Cordova v. Vick Chemical Coy (1951) 68 R.P.C. 103 at 106* : ‘In most persons the eye is not an accurate recorder of visual detail and marks are remembered rather by general impressions or by some significant detail than by any photographic recollection of the whole.’”

So the court must look at the essential features of United Biscuits' registered pictorial marks, so far as they escape revocation - not at the packaging in current use by United Biscuits, except so far as it reflects those essential features - in determining the issue of infringement.

That leads on to the counterclaim for revocation. [Section 46\(1\)\(b\)](#) of the 1994 Act provides that registration of a trade mark may be revoked on the ground that its genuine use has been suspended for an uninterrupted period of five years, and there are no proper reasons for non-use. [Section 46\(2\)](#) provides that for these purposes, use of a trade mark includes use in a form differing in elements which do not alter the distinctive character of the mark in the form in which it was registered. Revocation if ordered takes effect ([section 46\(6\)](#)) from the date of the application (in this case, the counterclaim) or such earlier date as to which the court is satisfied that the grounds for revocation existed.

Mr. Bloch resists revocation on three grounds: first (relying on section 46(2)) that the marks have as a matter of fact continued in use in a form which embodies their distinctive character; secondly, that the marks were registered under the [Trade Marks Act 1938](#) (“the 1938 Act”) as associated marks, and as associated with pictorial and word marks (the skating penguins and PENGUIN) which were used during the relevant period; and thirdly, that the court has a discretion whether or not to revoke. The statutory provisions as to associated marks are not reproduced in the 1994 Act (which came into force on 31 October 1994). [Schedule 3](#) to the 1994 Act contains transitional provisions and [paragraph 2\(3\)](#) of that schedule provides (subject to an exception for a series of marks, such as the eight penguins in chef's hats, which is not now in point) that notes indicating that registered marks are associated with other marks are to ***536** cease to have effect on the

commencement of the 1994 Act. The possible significance of associated marks is that [section 30\(1\)](#) of the 1938 Act gave the tribunal a discretion, where use had to be proved for any purpose, to accept use of an associated registered mark as an equivalent for the use required to be proved.

Own brands, brand beaters and public perceptions

In passing off and trade mark cases the court must consider the nature of the market in which the goods in question are sold. This case is concerned with the highly competitive business of selling branded and own-brand chocolate sandwich countline biscuits in supermarkets. I have already touched on various points about the nature of this market but it may be useful to draw some of the material together.

Branded products are very big business, especially in the field of edible grocery. Their impact is of concern not only to marketing specialists but also to accountants, auditors and investors. That appears, for instance, from the chapter on Brand Accounting in Mr. Terry Smith's *Accounting for Growth* (2nd edition, 1996) which mentions Hanson's struggle with United Biscuits for Imperial Foods in 1986, and Nestlé's struggle with Suchard for Rowntree in 1988, as take-over battles which centred on the value of famous brand names.

The public perception, which seems to be more or less correct, is that the big supermarket chains originally introduced their own-brand groceries to compete on price, rather than on quality. In order to emphasize that point some supermarkets used to put their own-brand goods into simple or even austere packaging. That has however been changing. Although own-brand goods still compete (very effectively) on price, price differentials and quality differentials have (as a broad generalisation) both tended to narrow, and own-brand packaging is designed to compete with brand leaders. The Puffin was intended to be a "brand beater" competing directly with the Penguin. Own-brand products rarely (if ever) identify the manufacturer by name. The packaging usually states in small print (as the Puffin packaging does) "produced in the United Kingdom for" the supermarket in question.

Manufacturers of well-known branded goods have, understandably, an ambivalent attitude to own-brand goods with which they are in competition - especially as the supermarkets which sell own-brand goods are usually the brand manufacturers' most important customers. Some manufacturers have a policy of never producing own-brand goods for supermarkets (Kellogg is a well-known example). Many others (including United Biscuits) do make own-brand products but do not give unnecessary publicity to the fact.

Where the manufacturer of well-known branded goods does undertake own-brand production as well, the precise specification for the own-brand product (and in particular, whether or not it is identical in quality with the brand leader) is not generally known to the public. One fairly extreme instance, which was discussed with Mr. McLeod and Mr. Blundell in the course of their evidence, is the Asda Wheat Bisks breakfast cereal which is apparently made for Asda by the manufacturer of the well-known Weetabix brand, is identical to it in quality, is packaged (without objection from

the manufacturer) in a strikingly similar *537 get-up, but is sold at a lower price. So that particular own-brand product very strongly suggests that it is the same goods from the same manufacturer, but there is nothing deceptive about that suggestion, as it is true.

It is debatable how far the perceptions of the general shopping public have kept pace with these changes. The small sample of shoppers whose evidence I heard illustrated different attitudes. Some witnesses took the attitude that “You get what you pay for”. Others regularly buy, or would consider buying own- brand products because they are cheaper, in the expectation that their quality will be identical or almost identical to that of the brand leader.

But what was implicit in all their evidence - though rarely spelled out - was the expectation of *consistent* quality. They generally did not (as I have noted) know or care what the name of the manufacturer was, or whether its undertaking and goodwill had (as a result of a take-over, with or without subsequent corporate reorganisation) come to be vested in another company or group of companies. There was a passing mention of that in the evidence of Mrs Hunton, who comes from Norwich, where the Rowntree factory was closed after the Nestlé acquisition. The implicit confidence of the ordinary shopper that the brand is a guarantee of consistent quality is of course at the heart of brand loyalty, which marketing specialists prize so much. In view of the importance of brand loyalty and brand recognition (or brand awareness), it is surprising (to me at least) that marketing folk are so inclined to redesign, repack and relaunch the products to which they and their predecessors have habituated the shopping public, sometimes at huge expense in advertising and promotion. The restless tendency to novelty (exemplified in the witness statement of Mr. Hutchison, paragraph 27 of which I have already set out) runs counter to the basic notion of a stable reputation in goods recognised by stable marks, whether registered or unregistered.

I have thought it right to mention these points because they were the subject of a good deal of evidence, both written and oral. The importance of brands and the emergence of competing own-brands means that the law's tests of what is fair and what is unfair competition have to be applied in new and changing conditions. But the basic tests are the same. I have to apply the non-statutory principles of the law of passing off as they have developed over the years, and the statutory principles of trade mark law now embodied (with significant changes from the earlier law) in the 1994 Act.

Conclusions: passing off

To succeed in passing off, United Biscuits must establish the “classic trinity” of reputation (or goodwill), deception and damage. Goodwill is admitted on the pleadings, and is in any case amply established by the evidence.

At the beginning of the hearing Mr. Bloch (while submitting that actual confusion of goods is notoriously difficult to establish by direct evidence, especially in the case of low-value goods) put his case on deception on the three foundations of judicial first impression, the NOP survey, and evidence of actual confusion among members of the public (including those questioned by NOP's

interviewers). As I have recounted, Mr. Bloch then decided that he could no longer rely on the NOP survey, and so I disregard that evidence. Mr. Pollock *538 sought to gain positive assistance from the survey (as I have mentioned above under the heading Witnesses) but for the reasons given there I think that 35 (rather than 3) out of 170 interviewees might be the more significant figure, if reliance were placed in the NOP survey. I do not attach weight to the evidence of the trade witnesses in relation to the customers' likely reactions (as opposed to their evidence of the nature of the market).

Judicial first impression is of some importance, especially where the goods in question are familiar and inexpensive (as opposed to the sort of specialised designer label goods with which Sir Nicolas Browne-Wilkinson V-C was concerned in *Guccio Gucci v. Paolo Gucci* [1991] F.S.R. 89 : see Rattee J.'s comments on that case in *The European Ltd. v. The Economist Newspapers Ltd.* [1996] F.S.R. 431 at pages 441-2). My impression of the puffin packaging (in all four colours or varieties) is that it would cause a substantial number of members of the public to suppose that there was a connection between the Puffin biscuit and the Penguin biscuit. Despite the evidence of isolated mistakes, I do not consider that a substantial number would believe that the Asda Puffin is the McVities Penguin. But many would believe that the two must be made by the same manufacturer.

That judicial first impression was largely confirmed by the oral evidence. Witnesses repeatedly referred to the dark seabird, the black lettering and the similarity of names as the features which together induced that belief. One or two came close to saying that the Puffin biscuit must be produced by the manufacturer of the Penguin, because otherwise it would not be allowed (there is here some hint of a self-fulfilling prophecy, and this point must not be given any more weight than it merits).

I conclude that the Puffin packaging and get-up was, in the material sense, deceptively similar to those of the penguin. In reaching this conclusion I do not find that it was intended to be deceptively similar; I accept the evidence of Mr. McLeod and Mr. Blundell that they intended to avoid deception. But plainly they had that risk in mind, and in my judgment they miscalculated the degree of “challenge” or “matching” or “parody” that was tolerable without the product being actually deceptive (in the material sense).

As to damage, I am satisfied that United Biscuits has suffered damage, although it may be difficult to quantify for reasons discussed in Dr. Bishop's report. That report is (as I have said) candid about its own limitations and cannot establish (and was not relied on by Mr. Pollock as establishing) the negative proposition that no damage could have resulted from any confusion between the two products at and after the Puffin launch.

Conclusion: trade marks

I must first consider the counterclaim for revocation. I have already identified the four pictorial marks on which an issue arises (No. 167859 is not registered for biscuits anyway). On Mr.

Hutchison's unchallenged evidence the side-on penguins (No. 730514 ⁴ and No. 1095448) were used successively, in their exact *539 form, between the 1950's and 1983. The baby penguin (No. 1095034 ⁵) was used in its exact form (or in its mirror image) on promotional material from 1976 and on outer packaging from 1983 until (in each case) 1988. The front views of adult penguins (No. 1329752) were used in their exact form on promotional material from 1976 and on outer packaging from 1983 until (in each case) 1988. The period from 1988 until 1995 was the period of what Mr. Hutchison aptly describes as "cartoon characters with various props in various poses." The word marks PENGUIN and P...P...P...Pick up a PENGUIN have been continuously used for more than the last 25 years.

TABULAR OR GRAPHIC MATERIAL SET AT THIS POINT IS NOT DISPLAYABLE.

There is no evidence of genuine use of the pictorial marks in their exact form, or any close approximation to their exact form, since 1988. So if United Biscuits is to resist revocation it must do so on one of the three grounds already identified: use of the marks in another form still embodying their distinctive character; use of associated marks as registered under the 1938 Act; or the court's residual discretion under [section 46\(1\)](#) of the 1994 Act.

In my judgment all these three grounds fail, and these four pictorial marks must be revoked as claimed in Asda's counterclaim. I cannot accept the cartoon penguins (and especially that which was most prominently used, the penguin on skates and a scarf at *e.g.* I 235) as embodying the distinctive character of any of

TABULAR OR GRAPHIC MATERIAL SET AT THIS POINT IS NOT DISPLAYABLE.

the four marks which are attacked. The penguin on skates is just about recognisable as a penguin but it is a different aspect and pose and it lacks the naturalism of the earlier marks. [Section 30](#) of the 1938 Act has been repealed, *540 along with the rest of that Act, and I do not find anything in [Schedule 3](#) of the 1994 Act (or in the [Interpretation Act 1978](#)) enabling me to exercise now a discretion conferred by a repealed provision, even though the discretion would relate to a period before the repeal. If that were wrong, I would not think it right to exercise a discretion so as to establish a notional use so far removed from what actually happened between 1988 and 1995. Nor do I see any ground for declining to exercise my discretion to order revocation: the only reason for non- use put forward on behalf of United Biscuits was its marketing people's wish to have a change from the previous advertising. These pictorial marks will therefore be revoked.

That leaves the word marks, to be compared (as I have noted) mark for sign, discounting added external matter. On that basis I hold that the P...P...P... Pick up a Puffin which appeared briefly in the What's New leaflet and on the internet was an infringement of word mark No 2000691. I would not grant an injunction in respect of that infringement because I accept that there is no threat or prospect of its being repeated. As regards the word mark PENGUIN I am not persuaded that its fair use is infringed by the use of the sign PUFFIN, once added surrounding matter is disregarded, as it must be. United Biscuits' inability to rely on a pictorial mark is in my judgment decisive. I

accept the submission of Mr. Purvis (junior counsel for Asda, whom I allowed to follow his leader on trade mark issues) that United Biscuits' task is harder in relation to trade mark infringement than in relation to passing off, because of the need to focus on the plaintiff's mark (so far as unrevoked) against the defendant's sign, with everything else being as it were masked or obliterated; and with the limited exception mentioned above, the plaintiff has failed in that task.

I will, if necessary, hear submissions as to the date from which revocation should take effect: but it seems reasonably clear that it must be from a date preceding the Puffin launch.

Conclusion

Although this case is about familiar, low-priced products, it is of great importance to the parties, and the facts and the law have been carefully examined over several days. The weight of the evidence and the strength of the arguments have to my mind been fairly evenly poised, as appears from my conclusion that the plaintiff, United Biscuits succeeds in its non-statutory claim against the defendant Asda for passing off but fails (except in one particular) in its statutory claim for trade mark infringement.

I can summarise what I have decided as follows:-

- (1) The sale (and acts associated with or preliminary to sale) of Asda Puffin biscuits (in all four varieties or colours of packaging) does amount to passing off for which United Biscuits as manufacturer of McVities Penguin biscuits, is entitled to appropriate remedies.
- (2) Four of United Biscuits' registered pictorial trade marks (identified in the judgment) should be revoked. **541*
- (3) Except for two isolated incidents of use of the P...P...P... Pick up a Puffin slogan, United Biscuits' claim for infringement of word marks, isolated from revoked pictorial marks and from other external matter, fails.

I will hear counsel as to the appropriate form of order.

**542*

Footnotes

- 1 The plaintiff's current penguin packaging is illustrated at Figure 1, page 516 .
- 2 *[1990] R.P.C. 341 at page 422 .*
- 3 The defendant's Puffin packaging is illustrated at Figure 2, page 516.
- 4 See page 518
- 5 See page 520